Aeroflex Industries Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: AEROFLEX · BSE: 543972 · Report prepared 6 Nov 2026

Continuity report · follows our Q1-2027 report

Not investment advice. Do your own due diligence. A reading of the company's own earnings-call transcripts and public financials. This is Aeroflex Industries Ltd, not the separately listed Aeroflex Enterprises Ltd.

1. Snapshot

What the business does: Aeroflex makes stainless-steel flexible hoses and fitted hose assemblies, the braided metal pipes that carry gas, chemicals, steam and coolant around factories, refineries, ports and ships. It exports most of its hose. On top of that sits a fast-growing second business: SFN skid assemblies, pre-built pipework modules that pump liquid coolant through AI data centres, sold in India through one large US cooling company. It makes more money the further a product moves from plain hose to a finished assembly or skid.

Measure	Value	What it means in plain words
Market cap	₹6,388 cr	What the whole company is worth on the stock market. Up from ₹5,707 cr at our last report.
Q2 FY27 total income	₹207.7 cr	Sales plus small other income in the Sept quarter, up 87% on a year ago. First time a quarter has crossed ₹200 cr.
Q2 FY27 operating margin	24.3%	About ₹24 of operating profit (EBITDA, profit before interest, tax and depreciation) per ₹100 of sales. Up from 23.0% in Q1.
Q2 FY27 net profit	₹36.6 cr	Up 157% on last year. Roughly ₹6 cr of this came from a change in how depreciation is counted (see below), so the cleaner figure is nearer ₹30 cr. Still about double last year.
H1 FY27 total income	₹353.7 cr	Six months of sales, up 81%. Close to the whole of FY26 (₹412 cr of sales) already.
Borrowings (Sep 26)	₹24 cr	Against about ₹496 cr of net worth. Still close to debt-free, though debt has started to tick up as capex picks up.
Stock P/E	71×	The share price is 71 times the last year's profit. Down from 85× at our last report only because profit jumped. Still a price that expects years of fast growth.

2. Concall coverage

Period	Call date	How it is treated
Q2 FY24 → Q4 FY26 (11 calls)	Nov 2023 – May 2026	Carried forward from our earlier reports. Backstory only, not re-read.
Q1 FY27 (prior boundary)	28 Jul 2026	Coverage boundary of the Q1-2027 report. Its guidance is the yardstick used below.
Q2 FY27	29 Oct 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter. Screener lists 14 transcripts for Aeroflex and all 14 downloaded, with none missing. The older history comes from the prior report. Thirteen unique calls in all, spanning three years.

★ Latest concall highlights · Q2 FY27 (call held 29 Oct 2026)

- **Another record, and bigger than the last one.** Income ₹207.7 cr (+87%), EBITDA ₹50.3 cr (+94%), profit ₹36.6 cr (+157%). Read: Q1 was not a one-off. The jump from Q1 to Q2 alone was about ₹60 cr of extra sales.
- **Full-year guidance raised hard.** FY27 growth now guided at "almost 60%", or ₹715–725 cr of revenue "at the least", up from ~35% in May. Skid revenue is now guided at ₹150–200 cr for the year, against an original ~₹125 cr that they say will already be reached by the end of this quarter. Read: management has moved from refusing to upgrade in July to a big upgrade now.
- **A ₹202 cr expansion announced.** Hose capacity goes from 20 to 30 million metres (₹124 cr) and skid capacity from 15,000 to 30,000 a year (₹78 cr), both by March 2028. Management sizes the extra revenue at ₹500–550 cr a year at full use and now talks of ~₹1,500 cr revenue in FY30 at about a 25% margin, replacing the older ₹1,000 cr by FY29 target. Read: this is the first time capex needs outside money, a bridge loan and equity "if required".
- **An accounting change flatters the profit.** Depreciation moved from the written-down-value method to straight-line from 1 April 2026, cutting the charge by ₹8.41 cr, all booked in Q2. Read: a fair part of the jump in profit is bookkeeping, not business. Operating profit (EBITDA) is untouched by it and that grew 94%.
- **Hyd-Air is being merged into Aeroflex.** The fittings subsidiary now mostly supplies the parent. Tone on the call: confident and quick, with a few loose answers on the merger's benefit.

Business mix & capacity (Q2 FY27). Domestic vs export: the split was not disclosed on this call. In Q1 it was roughly 60% exports / 40% domestic (derived, not stated). Skids all go to India for now, so domestic's share is likely still rising. **Liquid cooling** was 24% of H1 revenue. **Hose capacity:** 20 million metres a year now in place, running at about 80% use. Read: there's limited headroom left, which explains the new 30 million metre plan. Peak hose revenue after expansion is sized at ₹850–900 cr. **Skid capacity:** 12,000 a year commissioned, 15,000 by December 2026, guided to 40–50% use this year and peak use in FY28. **Smaller units:** metal bellows ₹6 cr in Q2 (₹9 cr in H1); Hyd-Air ₹11.5 cr in H1, which means Q2 was weaker than Q1's ₹7 cr.

★ Since our last report

Builds on the Q1-2027 report (call 28 Jul 2026). Its verdicts were **trigger YES** and **consistency YES**. Its things to watch: fire-hose launch, international skid orders, the 15,000-skid line, the hose expansion date, bellows and the dormant ₹400 cr QIP.

Prior read	What we said then	What the new call shows	Movement
FY27 growth	~35% guided; management refused to raise it after a 72% Q1.	Raised to ~60%, ₹715–725 cr "at the least". H1 already +81%.	**Improving**
Margin to 25%	23% FY27, 25% over a few years.	24.3% in Q2, 23.8% for H1. FY30 framed at ~25%.	On-track
Skids 15,000 by start of Q3	Oct–Nov, machine supplier risk flagged.	12,000 commissioned; 15,000 now December 2026. A small slip, said plainly.	Slipping (minor)
Hose 17.5 → 20 m metres	Slipped from Q2 to Q3.	Done. Already completed, back on the earlier timing.	**Confirmed**
Fire-hose assemblies	Launch end-Q2 / start-Q3, 23–26% margins.	Not mentioned once on the call, by management or analysts.	**Unaddressed**
International skid orders	Promised within FY27.	"Advanced stage" of sampling and pricing with the same US customer; a different design for overseas; no timeline given.	On-track, unproven
Metal bellows	₹3 cr in Q1, long behind its ₹80–85 cr promise.	₹6 cr in Q2. Doubling, but still far short of the old promise.	**Improving**
Hyd-Air	Flat; capex plan unannounced.	Revenue fell further and the subsidiary is being merged in.	Changed course
₹400 cr QIP / acquisition	Dormant, unmentioned for three calls.	Not named, but equity "if required" for capex and "working on certain potential acquisitions".	Dormant

Verdict change this quarter: both verdicts stay at YES. The trigger is stronger: a second record quarter, a big guidance raise and fresh capacity tied to it. Consistency holds, but with two new marks against it: a promised product launch that went unmentioned, and a profit figure dressed up by an accounting change that was explained but not volunteered as a caveat.

★ 3. Earning-trigger thesis

Two engines, both now in the printed numbers. The base business keeps climbing from plain hose into fitted assemblies, which earn more per metre: hose grew 40% and assemblies 44% in H1, with ports and firefighting adding to the old oil-and-gas and steel customers. The newer engine is data-centre liquid cooling, now 24% of H1 revenue and the largest end-market, sold in India through one large US cooling maker that has an exclusive deal with Aeroflex here. Management is backing both with a ₹202 cr expansion that roughly doubles skid capacity and lifts hose capacity by half by March 2028. What's still missing is breadth: one customer for skids, a three-month view of orders, and no export skid order yet.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Data-centre cooling skids	₹150–200 cr in FY27; 15,000 → 30,000 capacity by Mar 2028; peak use of 15,000 in FY28.	24% of H1 revenue. Original yearly target hit within two quarters.	Now – FY28	Strong. Real money, but one customer.	↑ **guidance raised, capacity doubled**
Value-added hose & assembly mix	Margin ~25%; 30 m metres by Mar 2028; peak hose revenue ₹850–900 cr.	Hose +40%, assemblies +44% in H1; plant at ~80% use.	Now – FY30	Strong. Three years of delivery.	↑ **base business faster than expected**
International skids	Advanced talks with the same customer; others at an early stage.	Nothing shipped yet; design differs abroad.	FY27–FY28	Unproven	**unchanged**
Fire-hose assemblies	Last said: live by start of Q3.	No update given.	Unclear	Unproven	↓ **went silent**
Metal bellows	"Real uptick" promised.	₹3 cr → ₹6 cr quarter on quarter.	FY27	Weak but improving	↑ **small base**

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24–FY25 (carried fwd)	~25% operating-profit growth, hose capacity on schedule, rising assembly mix.	All landed.	Delivered
FY25 (carried fwd)	Metal bellows to ₹80–85 cr.	₹9 cr in H1 FY27. Improving, still a fraction.	Missed
Q4 FY26 (May 26)	FY27 growth ~35%, margin ~23%, skids 20–22% of sales.	H1 +81%, margin 23.8%, cooling 24% of H1.	Beaten
Q1 FY27 (Jul 26)	Hose to 20 m metres by Q3; skids to 15,000 by Oct–Nov.	Hose done; skids at 12,000, 15,000 now December.	Mostly delivered
Q1 FY27 (Jul 26)	Fire-hose assemblies live by end-Q2 / start-Q3.	Not mentioned on the Q2 call.	Too early / unaddressed
FY25–FY26	₹400 cr QIP for an overseas acquisition.	Still nothing raised or bought. Now "potential acquisitions" and equity "if required".	Dormant
Q2 FY27 (Oct 26)	FY27 ₹715–725 cr; skids ₹150–200 cr; 30 m metres and 30,000 skids by Mar 2028; ~₹1,500 cr in FY30.	All forward-looking.	Too early

Narrative drift: very little. The story is the same one told for three years (move up from hose to assemblies, add data-centre cooling, fund it with cash) and the numbers keep backing it. The tone did shift, though. In July they refused to raise guidance after a huge quarter. Now they've raised it sharply, moved the long-term target up and announced the biggest capex in the company's history in one go. That's backed by two strong quarters, so it isn't spin, but it's a more promotional voice than before. Two loose ends: on the Hyd-Air merger they first spoke of "a couple of percentage"

margin gain, then said later in the same call the effect would be "quite minuscule". And the fire-hose launch they were confident about in July got no airtime at all.

5. Bottom line · two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged

Nothing moved this down and a lot moved it up. A second record quarter, the operating profit nearly doubling, and full-year guidance raised from ~35% to ~60% growth all point the same way. Both engines, the hose-to-assembly ladder and the data-centre skids, are visible in the results, and the new ₹202 cr capex is sized to them rather than to hope. The risks are the same as before and they matter: every skid goes to one customer in India, order visibility is only about three months, profit this quarter is flattered by a depreciation change, and the stock already prices in a lot at 71 times earnings. The trigger is real; what you pay for it is the open question.

Management consistent? → YES

vs last quarter: unchanged

The hose capacity that had slipped a quarter is done, the margin is where they said, and growth is well ahead of what they guided. That's a strong record. Two new marks go against them this time. The fire-hose product promised for this quarter was not mentioned. And the merger benefit was described two different ways in the same call. The long-running ones stay too: bellows is still far below its old promise and the ₹400 cr QIP has never been formally dropped. None of that outweighs a team that keeps beating its own numbers. Next call, watch for the first export skid order, the fire-hose launch, and whether profit holds up once the depreciation catch-up washes out.

Sources: Aeroflex Industries Ltd Q2 FY27 earnings-call transcript (call 29 Oct 2026, filed 2 Nov 2026), sourced from Screener.in and read in full. Earlier calls Q2 FY24 to Q1 FY27 carried forward from our Q4-2026 and Q1-2027 reports. Screener.in financials as at 6 Nov 2026. Call figures are consolidated (management's basis); Screener's quarterly table is standalone and shows sales of ₹202 cr and net profit ₹36 cr. The "about ₹6 cr" depreciation effect on profit is our estimate: the ₹8.41 cr lower charge after tax at the quarter's ~26% rate.